

Slides 2.08: Paycheck Detective

Lesson 2.8, one day, 13 slides. Wage and prices to be refreshed before teaching.

Slide 1: Do now

- Every way a person your age can get money.
- Every way an adult can.
- Two columns. Two minutes. As many as you can. Notes: Sort the answers on the board into EARNED and NOT EARNED as students call them out.

Slide 2: Where money comes from now

- Allowance. Chores a relative pays for.
- Babysitting. Dog walking. Mowing. Tutoring.
- Selling things you made or no longer use.
- Gifts.
- Which of these did you do work for? Image: a teenager walking two dogs on a sidewalk.

Slide 3: Where money comes from later

- Wages: paid by the hour. \$17.00 an hour on Long Island in 2026.
- Salary: a set amount for the year, split into paychecks.
- Tips. Commission. Overtime. A second job. A business you own.
- Later: interest and dividends from money you saved and invested (Topic 2.4). Image: a pay stub, a tip jar, and a piggy bank in a row.

Slide 4: The first formula

- Hourly rate x hours worked = gross pay
- $\$17.00 \times 24 \text{ hours} = \408.00
- Copy it. You will use it in three minutes.

Slide 5: The hook

- Dana is 16. She works at a bagel shop.
- The posting said \$17 an hour. She worked 24 hours.
- She did not get \$408.
- Where did it go? Image: a bagel shop counter with a hand-written "Now Hiring" sign.

Slide 6: Gross and net

- Gross pay: what you earned.
- Net pay: what you keep. This is the number that lands in your account.
- Gross minus deductions = net.
- You budget with net. Never with gross.

Slide 7: The four deductions

- Federal income tax: the national government. Defense, highways, the weather service, national parks.
- New York State income tax: state roads, aid to schools, state parks.
- Social Security: 6.2 percent of gross. Pays retired and disabled workers now. Someone will pay yours.
- Medicare: 1.45 percent of gross. Health coverage for people 65 and over. Notes: Say plainly that a teen's first stub may show \$0 federal and state tax because the income is low. Social Security and Medicare are always there.

Slide 8: Two quick checks

- Thumb up if this is true: net pay is bigger than gross pay.
- Thumb up if this is true: Social Security is the same percent for every worker in the country. Notes: First is false, second is true. Ask one student to say why for each.

Slide 9: Be the detective

- Pairs. Calculators.
- Compute gross. Add the four deductions. Subtract. Check against the printed net.
- Then: percent taken out, and the four detective questions.
- 14 minutes.

Slide 10: The stub, labeled

- Line 1: what she earned.
- Lines 2 to 5: what came out.
- Line 6: what she kept.
- Total deductions: add all four first, then subtract once. Image: the sample stub with three colored brackets around lines 1, 2 to 5, and 6.

Slide 11: The answers

- Gross: \$408.00. Deductions: \$67.94. Net: \$340.06.
- About 17 cents of every dollar left before she saw it.
- Largest deduction: Social Security, \$25.30.
- A year of these: \$8,841.56 take-home. Notes: Reveal after three pairs report.

Slide 12: Think about it

- Social Security comes out of a 16-year-old's check. She will not see it for 50 years. Fair?
- Two people, same gross. Can their net be different?
- Her hours get cut from 24 to 16. What happens to net? What happens to her budget?

Slide 13: Exit card

- 3 sources of income you could have in the next two years
- 2 deductions that come out of every paycheck in the country
- 1 sentence: what does "net" mean?
- Tomorrow: net pay goes into a budget. Bring your \$100 sheet from Lesson 2.7.